Currently, funds are required to include audited financial statements in their annual reports and unaudited financial statements in their semi-annual reports.[398] Section 30(e) of the Investment Company Act provides that funds' annual and semi-annual reports include the fund's financial statements, which in turn must include a statement of assets and liabilities, a schedule of investments that shows the amount and value of each security owned by the fund on that date, a statement of operations, and a statement of changes in net assets.[399] The annual report must include audited financial statements accompanied by a certificate of an independent public accountant.[400] The financial statements (including the fund's schedule of portfolio investments) provide data regarding the values of the fund's portfolio investments as of the end of the reporting period. This provides a "snapshot" of data at a particular point in time, or, for example in the case of the statement of operations, historical data over a specified time period.[401]

The rules under Regulation S-X establish general requirements for portfolio holdings disclosures in fund financial statements. Information regarding a fund's schedule of portfolio

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398 *See* Item 27(b)(1) and 27(c)(1) of Form N-1A. A fund's audited financial statements must include, among other items: (1) an audited balance sheet, or statement of assets and liabilities, as of the end of the most recent fiscal year; (2) an audited statement of operations for the most recent fiscal year; (3) an audited statement of cash flows for the most recent fiscal year if necessary to comply with generally accepted accounting principles ("GAAP"); (4) audited changes in net assets for the two most recent fiscal years; and (5) a schedule of investments in securities of unaffiliated issuers. *See* rules 3 through 18 and 6 through 10 of Regulation S-X.

399 *See* sections 30(e)(1) through (4) of the Investment Company Act [15 U.S.C. 80a-29(e)(1) through (4)], and section 30(e)(6) of the Investment Company Act [15 U.S.C. 80a-29(e)(6)].

400 *See* section 30(g) of the Investment Company Act [15 U.S.C. 80a-29(g)].

401 *See* Investment Company Reporting Modernization, Investment Company Act Release No. 31610 (May 20, 2015) [80 FR 33590 (June 12, 2015)] ("Reporting Modernization Proposing Release"), at text following n.55.

investments is designed to enable shareholders to make more informed asset allocation decisions by allowing them to better monitor the extent to which their investment portfolios overlap. In addition, this information may provide shareholders—particularly those with facility in analyzing funds' individual portfolio holdings—with information about how a fund is complying with its stated investment objective and expose any deviation from the fund's investment objective (*i.e.*, style drift).[402] In lieu of providing a complete schedule of portfolio investments as part of the financial statements included in its shareholder report, a fund may provide a summary schedule of portfolio investments ("summary schedule").[403] The summary schedule must list, separately, the 50 largest issues and any other issue exceeding one percent of the net asset value of the fund at the close of the period.[404]

Much of the length of funds' current annual and semi-annual reports is due to the inclusion of the complete financial statements.[405] Commenters on the Fund Investor Experience RFC, as well as information from prior investor testing and surveys, suggest that some investors generally believe the financial statements, or information derived from financial statements, is important.[406] However, we understand that many shareholders may

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402 *See* February 2004 Shareholder Report Adopting Release, *supra* footnote 83, at text accompanying n.32.

403 *See* Instruction 1 to Item 27(b)(1) of Form N-1A (permitting the inclusion of Schedule VI–summary schedule of investments in securities of unaffiliated issuers under Rule 12-12C of Regulation S-X in lieu of Schedule 1— Investments of securities of unaffiliated issuers under Rule 12-12 of Regulation S-X).

404 *See* rule 12-12C, n.3 of Regulation S-X [17 CFR 210.12-12C].

405 *See supra* footnote 19 and accompanying text (discussing the typical length of funds' annual reports today).

406 *See supra* footnotes 51 and 52 and accompanying text (summarizing research findings regarding the level of investor interest in financial statement information).

find the current shareholder report financial statement disclosure to be complex and difficult to understand. For example, the 2012 Report on Investor Testing of Fund Annual Reports noted that while about a quarter of investors surveyed expressed the view that financial statement information is important, the majority of investors did not find the financial statement section of the shareholder report easy to understand, and investor comprehension of the section was low.[407] Similarly, one commenter on the Fund Investor Experience RFC stated that much of the information included in financial statements is of a technical nature with little importance to the average retail investor, and recommended that this information be included online.[408]

We are proposing to require funds to provide the complete financial statements on Form N-CSR, while retaining the graphical representation of holdings in the annual and semi-annual reports.[409] We believe that this layered approach to disclosure will help shareholders understand how the fund invests its assets. This approach is also designed to permit all shareholders, including retail shareholders, to monitor and assess their ongoing investment in the fund in a concise, easy-to-understand pictorial format, while preserving access to the more complete financial statements for shareholders that find this broader information useful. The graphical representation of holdings in funds' shareholder reports is also in line with the

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407 *See* 2012 Report on Investor Testing of Fund Annual Reports, *supra* footnote 26, at 15. The results of the 2012 Report on Investor Testing of Fund Annual Reports found that 24% of shareholders that were surveyed ranked the financial statements within the top three items of importance.

408 *See* ICI Comment Letter I.

409 *See* proposed Item 7 of Form N-CSR (requiring funds to provide the complete financial statements on Form N-CSR); *see also* Item 27A(f) of Form N-1A (requiring shareholder reports to include the graphical representation of holdings).

preferences investors have expressed for including more tables, charts, and graphs in fund disclosure to make information more understandable to the average investor.[410]

We also are proposing amendments to Form N-1A that would eliminate a fund's ability to provide a summary schedule in lieu of providing a complete schedule of portfolio investments as part of the financial statements. We believe that this is appropriate because the proposed annual and semi-annual reports would no longer include the complete financial statements (which includes the schedule of portfolio investments). Therefore, because a fund's full schedule of investments would only be included on Form N-CSR and on the fund website, we believe that allowing funds to use the summary schedule would be unnecessary and could potentially be confusing to shareholders. This proposed change would also reduce costs to the extent funds need not print and mail a complete schedule of portfolio investments as part of the financial statements unless a shareholder requests this information.[411] Furthermore, because the proposed annual and semi-annual reports are designed to help investors focus on the most salient features of the fund to better evaluate their investment, we do not believe it

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410 *See* Kleimann, *supra* footnote 324; *see also supra* footnote 34.

411 Under the proposal, this information would also appear online. As part of its proposal and adoption of rule 30e-3, the Commission similarly proposed to eliminate the ability of a fund relying on rule 30e-3 to provide a summary schedule in its shareholder report because the shareholder report would only be filed online and, therefore, the fund would not bear additional printing and mailing costs associated with providing the full schedule of investments. *See* Reporting Modernization Proposing Release *at* Section II.D.

The Commission ultimately determined to retain the ability for a fund that relies on rule 30e-3 to provide a summary schedule in the Rule 30e-3 Adopting Release, and acknowledged that a fund may choose to use a summary schedule for cost considerations or otherwise. *See* Rule 30e-3 Adopting Release, *supra* footnote 14, at n.120. We believe the considerations underlying this proposal's treatment of the summary schedule are different because, unlike under rule 30e-3, no fund investors would have a shareholder report that includes the fund's financial statements directly transmitted to them. Under rule 30e-3, funds would still have to deliver shareholder reports that include full financial statements to any shareholder who so requests.

would be useful to shareholders, and may even be confusing, to allow funds to provide a summary schedule alongside the complete schedule of portfolio investments online.

We seek comment on our proposal to require funds to file their annual and semi-annual financial statements on Form N-CSR and make them available online rather than in a fund's shareholder reports, and specifically on the following issues:

136. Would our proposed layered approach to disclosure of financial statement information—by providing the graphical representation of holdings in the annual and semi-annual report and the complete financial statements on Form N-CSR—help tailor information to shareholders based on their informational needs? Are there any other data elements from funds' financial statements that should be included in funds' annual and semi-annual reports, and if so, what elements and why would they be useful for retail shareholders?

137. Is the direct transmission of audited financial statements, or a portion of them, important to fund investors, and if so, why? If important, would it be helpful to investors for any information in the annual report to be replicated verbatim from the audited financial statements, and for the report to make clear that certain information was audited? What information and why?

138. Should we, as proposed, eliminate a fund's ability to provide a summary schedule in lieu of providing a complete schedule of portfolio investments as part of the financial statements? Should we instead either permit funds to continue providing a summary schedule as part of their financial statements, or require funds to include a summary schedule in their shareholder reports? Would the latter alternative provide an appropriate complement to the graphical representation of holdings, or would including the summary schedule in funds' shareholder reports be duplicative and/or confusing in light of the proposed